Revised Purchase Structure: Software Licences

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Revised order clauses

1. Licensing: 12 named licences ($1,000 each, annually) for the all-day users, plus 8 concurrent licences ($2,400 each, annually) shared by the other 68. All 80 staff keep individual accounts with audit trail.

2. Setup: One shared workspace for all four teams, $2,000 once.

3. Term: 12 months, fixed price, paid annually. No automatic renewal and no price increase; renewal only by mutual written agreement.

First-year total

Item	Calculation	USD
Named licences	12 × $1,000	12,000
Concurrent licences	8 × $2,400	19,200
Setup	1 × $2,000	2,000
Revised total		**33,200**
Draft order, year 1	80 × $1,000 + 4 × $2,000	88,000
Saving	**$88,000 − $33,200 (62%)**	**54,800**

The revised total is $26,800 under the $60,000 budget; the draft was $28,000 over.

Why this structure

Peak use is 20 simultaneous users (12 all-day plus up to 8 occasional); named licences cost less than concurrent for the all-day users ($1,000 versus $2,400), while 8 concurrent licences cover 68 occasional users instead of $68,000 of named licences. Concurrent licences support unlimited individual accounts and the teams share one workflow, so one workspace meets the audit requirement and avoids three extra setup fees.

AI note

Tool: Claude (Anthropic).

Conclusion checked: that 12 named plus 8 concurrent is the cheapest valid mix.

Check: I recalculated the alternatives from the brief: all named $80,000; all concurrent (20 × $2,400) $48,000; chosen mix $31,200 for licences. Peak of 20 confirmed as 12 + 8.

Retained: the mix, single workspace and 12-month term. Nothing needed correcting.